



RKDF University, Bhopal
Open Distance Learning (ODL) Material
Faculty of Commerce
Semester-III
Subject - Corporate Accounting
Syllabus

Unit	Topics	No. of Lectures
I	Share: meaning, types, Issue, Forfeiture, Re-issue of shares. Redemption of Preference shares, Corporate Social Responsibility. Debenture: meaning, types, Issue and Redemption of Debentures, Profit Loss Account and Balance Sheet of the Company (in brief)	30
II	Calculations of Profit and loss prior and post incorporation, Liquidation of company, Accounting for liquidation of companies.	15
III	Goodwill: Concept, types, characteristics/Nature, Valuation of Goodwill, Valuation of shares.	15
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UNIT-I

SHARE : ISSUE, FORFEITURE AND REISSUE

Meaning: In finance, a share represents ownership in a company. When you buy shares of a company, you essentially own a portion of that company. Shares are typically issued by companies to raise capital and are bought and sold on stock exchanges.

Definitions : Total Capital of the company is divided into units of small denomination. One of the units into which the capital of the company is divided is called shares.

Types of shares :

1.Preference Shares

Preference shares with reference to any company limited by shares are those which carry:

- (a) A right to be paid a fixed amount of dividend or the amount of dividend, calculated at a fixed rate, e.g., 10% nominal value of shares and also.
- (b) A right to be paid the amount of capital paid up as such shares in the event of winding up of the company.

The articles share capital is the sum of total of preference shares.

2.Equity shares : all the shares are equity shares which are not preference shares i.e. having no priority in dividend and return of capital.

Classes Of Capital

In view of the stages involved in collecting the money on shares, the shares capital of a company may be classified as follow:

(1) Authorized Capital: It is the capital which is stated in company's memorandum of association with which the company intends to be registered. It is called the nominal or registered capital. It is the maximum amount of shares capital which a company is authorised to raise by issuing the shares.

(2) Issue Capital: It is that part of the authorised capital which is actually offered (issued) to the public for subscription. Therefore, the issued capital can never be more than the authorised capital. It can at the most be equal to the nominal capital. The balance of nominal capital remaining to be issued is called 'unissued capital'.

(3) Subscribed Capital: It is that part of the issued capital which has been actually subscribed by the public. In other words, it is that part of issued capital for which the applications have been received from the public and shares allotted to them.

(4) Called-up Capital: It is that part of nominal value of issued capital which has been called-up or demanded on the shares by the company. Normally, a company does not collect the full amount of shares it has allotted.

(5) Paid-up Capital: It is that part of the called-up capital which has actually been received from the shareholders.

(6) Reserve Capital: It is that part of the uncalled capital which cannot be called by the company except in the event of its winding up

Issue of Shares: This refers to the process by which a company offers new shares to the public or existing shareholders. It's a way for companies to raise capital for various purposes such as expansion, investment, or debt repayment.

Issue of Shares at par- issued at its face value

Transaction	Account	
	Debit	Credit
(1)Receipt of application money	Bank	Share application
(2)Application Money in respect of shares allotted	Share Application	Share capital
(3)Refund in respect of rejected applications	Share Application	Bank
(4)Adjustment of excess application money towards allotment	Share Application	Share Allotment
(5)Adjustment of excess application money Towards calls-in-advance	Share Application	Calls-in-advance
(6)When allotment is made and the money Becomes due	Share allotment	Share capital
(7)Receipt of allotment money	Bank	Share allotment
(8)Where a call is made for the call money due	Share call	Share capital
(9)Adjustment of money in calls-in-advance Towards the call account	Calls-in-advance	Share call
(10)Receipt of call money	Bank	Share call a/c

Issue Of Shares At Premium

The term 'Securities' has been defined under Section 2(45AA) inserted by Companies (Amendment) Act,2000. The premium is an amount in excess of par value or nominal value or face value of the securities (shares). Where a company issues securities at a premium whether for cash or for a consideration other than cash, a sum equal to aggregate amount of premiums on these securities shall be transferred to Securities Premium Account. The Securities Premium Account may be applied by the company:

- (a) in paying up unissued shares of the company to be issued to the members of the company as fully paid bonus shares;
- (b) in writing off the preliminary expenses of the company;
- (c) in writing off the expenses of or commission paid or discount allowed on any issue of shares or debentures of the company.
- (d) In providing for the premium payable on the redemption of any redeemable preference shares or any debentures of the company.
- (i) A company may issue shares at a premium, i.e, at a value greater than its face value. Premium so received shall be credited to a separate account called **Securities Premium Account**.

Journal Entries

(a) If the premium is paid with application money, the following entries will be passed:

- (i) Bank Account Dr.
 To Share Application A/c

(Being share application money along with premium received)

- (ii) Share Application Account Dr.
 To Share Capital A/c
 To Securities Premium A/c

(Share application money transferred to share capital A/c and Securities Premium A/c)

If the Securities Premium is received along with the allotment money, then the following entries will be passed

- (i) Share Allotment Account Dr.
 To Share Capital A/c
 To Securities Premium A/c

(Being the allotment money and securities premium money due on shares)

- (ii) Bank Account Dr.
 To Share Allotment Account

(Being the receipt of allotment along with share premium)

According to Section 78 of the Companies Act, 1956 Securities Premium account may be used in following purposes only:

- (i) For the issue of fully paid bonus shares to the members of the company;
- (ii) For writing off preliminary expenses of the company;
- (iii) For writing off the expenses of the commission paid or discount allowed on any issued of shares of debentures of the company; and
- (iv) For providing premium payable on the redemption of any redeemable preference shares or debentures of the company

ISSUE OF SHARES AT A DISCOUNT

Discount means a price which is less than nominal value or face value of a share. If share of Rs.10 is issued at Rs.8, then, 10-8, i.e., the amount of Rs.2 is discount.

When shares are issued at a price which is lower than market price but not below the face value of the shares, such an issue is not an issue at a discount.

1. A company shall not issue shares at discount except in the Company of a class already issued, if the following conditions are fulfilled, namely:
 - (i) The issue of the shares at a discount is authorized by a resolution passed by the company In general meeting and sanctioned by the company in general meeting and sanctioned by The Company Law Boards;
 - (ii) The resolution specifies the maximum rate of discount at which the share are to be issued;
 - (iii) Not less than one year has at the date of issue elapsed since the date on which the company was entitled to commence business; and
 - (iv) The shares to be issued at discount are issued within two moths after the date on which the issue is sanctioned by the Company Law Board or within such extend time as the Company Law Board May allow.
2. Where a company has passed a resolution authorizing the issue of shares at a discount, it may apply to the Company Law Board for an order sanctioning the issue, on such application the Board may make an order if it thinks proper to do so, sanctioning the issue on such terms and conditions as it thinks fit.
3. Every prospectus relating to the issue of shares shall contain particulars of the discount allowed on the issue of shares.

A company can issue shares at a discount, i.e., value less than the face value

Journal Entry

The following journal entry is passed on the issue of the shares at a discount at the times of allotment:

Share Allotment Account	Dr.
Discount on the Issue of Shares Account	Dr.
To Share Capital Account	

CALLS IN ARREARS AND CALLS IN ADVANCE

Calls in Arrears-

If any amount has been called by the company either as allotment or call money and a shareholder has not paid that money, this is known as calls in arrears. On such calls in arrears, If there is a provision in the Articles of Association, the company can charge interest **@ 5% for the period for which such amount remained in arrears from the shareholders.**

Calls in Advance-

calls received in advance and. Generally interest is paid on such calls according to the provisions of the Articles of Association but such **rate should not exceed 6% per annum.**

Bank A/c	Dr. (amount received on calls)
Calls in Arrears A/c	Dr. (amount not received on calls)
To share I/II Call money A/c (amount of call money due)	

Forfeiture Of Shares

When a shareholder fails to pay calls, the company, if empowered by its articles, may forfeit the shares.

Journal Entries

The following entry is passed at the time of forfeiture of shares.

Share Capital Account	Dr. (with the called amount (Nominal) On such shares as capital)
Securities Premium A/c	Dr. (If not received)
To Discount on Issue of Shares	(If shares are issued at discount Initially)
To Calls in Arrears a/c	(amount unpaid on calls/Allotment)
To Share forfeited A/c	(with the amount already received)

Re Issue Of Forfeited Shares

Bank A/c	Dr. (Amount received on such reissue)
Discount on the Issue of Shares A/c	Dr. (with original rate of discount and originally were issued at discount)
Shares Forfeited A/c	Dr. (Loss on reissue of shares)
To Share Capital A/c	(with face value of shares)
To Securities Premium A/c	(If shares are reissued at premium)

Note : If Shares forfeited account is showing credit balance after reissue of all forfeited shares, such profit should be treated as capital profit and the amount relating to shares reissued will be transferred to capital reserve by passing the following entry:

Shares Forfeited Account	Dr.
To Capital Reserve A/c	

Surrender Of Shares

When a shareholder gives up his shares to the company voluntarily and sacrifices all his rights, it is known as surrender of shares. There is no provision in Table A of the Companies Act regarding surrender of shares and a company cannot possible accept the surrender of fully paid up shares as it amounts to purchase of its own shares which is prohibited by Sec.77. Sometimes Articles of Association empowers the directors to accept surrender of shares. Ultimate effect of surrender of shares and forfeiture of shares is the same because in both cases membership of the shareholder comes to an end. The main point of difference between the two is that surrender is at the initiative of the shareholders while forfeiture is at the initiative of the company. Accounting record for surrender of shares is the same as that of forfeiture.

REDEMPTION OF PREFERENCE SHARES :

Preference Shares

Preference shares with reference to any company limited by shares are those which carry:

(c) A right to be paid a fixed amount of dividend or the amount of dividend, calculated at a fixed rate, e.g., 10% nominal value of shares and also.

(d) A right to be paid the amount of capital paid up as such shares in the event of winding up of the company.

The articles share capital is the sum of total of preference shares.

Those of Preference Shares

These may be of the following types:

1. Cumulative Preference Shares: These share are entitled to dividend at a fixed rate whether there are profits or not. The company pays dividend if it has sufficient profits. In case the company does not have sufficient profits, dividend on cumulative preference shares will go on accumulating till it is fully paid off, such arrears are carried forward to the next year and are actually paid out of the subsequent years' profits. In the case of winding up of the company, the arrears of dividend on these shares are payable only if the article of association contains express provision in this respect. It may be noted, that all preference shares are presumed to be cumulative unless expressly stated in the articles to be non-cumulative.

2. Non-cumulative Preference Shares: Non-cumulative preference shares are those shares on which the arrears of dividend do not accumulate. If in a particular year there are no profits are inadequate, the shareholders shall not get anything or receive a partial dividend and they cannot claim the arrears of dividends in the subsequent year. In simple words, on such shares the unpaid dividends do not accumulate but lapse, i.e., the shareholders lose them forever.

3. Participating Preference Shares: The holders of such shares are entitled to receive dividend at a fixed rate and, in addition, they have a right to participate in the surplus profits along with equity shareholders after dividend at a certain rate has been paid to equity shareholders, there are surplus assets, then the holders of such shares shall be entitled to share in the surplus assets as well. Such shares can be issued only if there is a clear provision in the memorandum or articles of association or the terms of issue.

4. Non-participating Preference Shares: The holders of such shares are entitled to only a fixed rate of dividend and do not participate further in the surplus profits. If the articles are silent, all preference shares are deemed to be non-participating.

5. Convertible Preferences Shares: the holder of such shares have a right to convert these shares into equity shares within a certain period.

6. Non-convertible Preference Shares: The preference shares, where the holders have no right to convert their shares into equity shares are known as non-convertible preferences shares. Unless otherwise stated preference shares are assumed to be non-convertible.

7. Redeemable Preference Shares: ordinarily, the amounts received by the company on shares is not returned except on the winding up of the company. A company limited by shares, if authorized by its articles, may issue preference shares which are to be redeemed or repaid after a certain fixed period. Thus, the amounts received on such shares can be returned

during the life- time of the company. Such shares are termed as redeemable preferences shares.

Redeemable Preference Shares

- Preference shares cannot be redeemed unless they are fully paid up. In other words partly paid-up shares cannot be redeemed.
- Preference shares can be redeemed either out of profits which would be available for dividend or out of the proceeds of a fresh issue of shares made with the object of redemption. These shares cannot be redeemed out of the proceeds of fresh issue of debentures or out of the sale proceeds of any property of the company
- When Preference shares are redeemed out of profits available for distribution as dividend, a sum equal to the nominal amount of the shares so redeemed must be transferred out of profits to a reserve account to be called '**Capital Redemption Reserve Account**'. Such reserve can be used for issuing fully paid bonus shares to the shareholders.

Redemption out of Profit

As the act permits the redemption of shares out of the profits, which are otherwise liable for dividend, transfer to capital redemption reserve account must be made only from out of such divisible profits.

Profits otherwise available for dividend
(Transfer to capital redemption reserve
Account is allowed from these

- 1.General reserve
- 2.Reserve fund
- 3.Dividend equalization fund
- 4.Insurance fund
- 5.Workmen's compensation fund
- 6.Workmen's accident fund
- 7.Voluntary debenture redemption account
- 8.Voluntary debenture sinking fund
- 9.Profit and loss account

Profits not available for dividend
(Transfer to capital redemption reserve
account is not allowed from these profits)

- 1.Security premium account
- 2.Forfeited shares account
- 3.Profit prior to incorporation
- 4.Capital reserve
- 5.Development rebate reserve

Procedure For Solving Problems

- First of all see whether the redeemable preference shares are fully paid up or partly paid up. If partly paid up, make the following journal entries to make them eligible for redemption because fully paid shares can be redeemed.

- Debit Preference Share Final Call A/c
Credit Preference Share Capital A/c
- Debit Bank A/c
Credit preference Share Final Call Account

2.

Debit Redeemable Preference Shares Capital A/c
Debit Premium on Redemption A/c

(With face value)
(With premium to be paid on
Redemption)

Credit Preferences shareholders A/c (Total amount to be paid on Redemption)

Make entry for Fresh issue of equity shares either with premium or with Discount

Debit Bank Account (with amount actually received)

Debit Discount on Issue of Shares (If shares are issued at discount)

Credit Equity Share Capital (with face value of shares issued)

Credit Securities Premium (If shares are issued at premium)

• Provide premium to be paid on redemption of preference shares out of securities premium account (from fresh issue or existing balance) or profit and loss account or general reserve etc. Debit Securities Premium A/c or Profit & Loss Account or General Reserve Credit Premium on Redemption Account s

• if redemption is to be made out of profits:

Debit Profit & Loss or General Reserve A/c etc.

Credit Capital Redemption Reserve Account **(with nominal value of shares)**

• Payment will be made to the preference shareholders by passing the following entry.

Debit Preferences Shareholders A/c

Credit Bank Account

• If redemption of preference sharers is made by conversion of some other shares, then the following entry will be passed:

Debit Preferences Share Capital A/c

Credit New Share Capital A/c

• Sometimes capital redemption reserve account is utilized for issuing fully paid bonus shares. In such a case the following entries will be passed.

• When decision is taken to issue bonus shares

Debit Capital Redemption Reserve A/c Or Securities Premium A/c Or Any other Reserve (Specifically mentioned in the question)

Credit Bonus to Equity Shareholders A/c

• When issue of bonus shares is made

Debit Bonus to Equity Shareholders A/c

Credit Equity Share Capital A/c

CORPORATE SOCIAL RESPONSIBILITY:

Corporate Social Responsibility (CSR)

Meaning: Corporate Social Responsibility refers to a company's commitment to operating in an economically, socially, and environmentally sustainable manner while balancing the interests of various stakeholders, including shareholders, employees, customers, suppliers, communities, and the environment.

Key Elements of CSR:

1. **Environmental Responsibility:** Companies are increasingly expected to minimize their environmental impact by reducing carbon emissions, conserving resources, promoting sustainable practices, and implementing eco-friendly technologies.
2. **Social Responsibility:** This involves initiatives aimed at benefiting society, such as supporting community development projects, promoting education and healthcare, providing employment opportunities, and addressing social issues like poverty and inequality.
3. **Ethical Responsibility:** Companies are expected to conduct their business ethically and with integrity, adhering to legal and ethical standards in all aspects of their operations, including governance, supply chain management, and interactions with stakeholders.
4. **Economic Responsibility:** While pursuing CSR initiatives, companies must also remain financially viable and contribute to economic development by generating profits, creating jobs, paying taxes, and fostering innovation and economic growth.

Importance of CSR:

1. **Enhanced Reputation and Brand Image:** CSR initiatives can help build trust and goodwill among stakeholders, leading to a positive brand image and reputation for the company.
2. **Competitive Advantage:** Companies that demonstrate a commitment to CSR may gain a competitive edge by attracting customers, investors, and employees who value socially responsible practices.
3. **Risk Management:** By addressing social and environmental issues proactively, companies can mitigate risks related to regulatory compliance, reputational damage, and operational disruptions.
4. **Stakeholder Engagement:** CSR provides a platform for companies to engage with stakeholders, understand their concerns, and build mutually beneficial relationships based on trust and transparency.

Challenges of CSR:

1. **Resource Constraints:** Implementing CSR initiatives requires financial, human, and organizational resources, which may pose challenges for smaller companies or those operating in financially constrained industries.
2. **Measuring Impact:** Evaluating the effectiveness and impact of CSR initiatives can be challenging due to the complex and long-term nature of social and environmental issues.
3. **Balancing Stakeholder Interests:** Companies must balance the competing interests of various stakeholders while pursuing CSR objectives, which can sometimes be difficult to reconcile.
4. **Green washing:** Some companies engage in "green washing" or superficial CSR activities to enhance their image without making meaningful contributions to sustainability or social welfare.

DEBENTURE: MEANING, TYPES, ISSUE AND REDEMPTION OF DEBENTURES, PROFIT LOSS ACCOUNT AND BALANCE SHEET OF THE COMPANY

Debenture

Meaning: Debentures are debt instruments issued by companies to raise funds from the public or institutions. When an investor purchases a debenture, they are essentially lending money to the company and become creditors. Debentures typically carry a fixed rate of interest and have a specified maturity date, upon which the company repays the principal amount to the debenture holders.

Types of Debentures:

1. **Secured Debentures:** These are backed by specific assets of the company, which serve as collateral for the debenture holders in case of default.
2. **Unsecured Debentures (or Naked Debentures):** These debentures are not backed by any collateral and rely solely on the creditworthiness of the issuing company.
3. **Convertible Debentures:** These debentures can be converted into equity shares of the issuing company after a predetermined period or under specific conditions.
4. **Non-Convertible Debentures (NCDs):** These debentures cannot be converted into equity shares and are redeemed at the end of the specified period.

Issue and Redemption of Debentures:

- **Issue:** Companies issue debentures through a process similar to issuing shares. They can be issued publicly through prospectus or privately through private placement. The terms of the debentures, including interest rate, redemption period, and conversion features (if any), are outlined in the debenture trust deed.
- **Redemption:** Debentures are redeemed by the company either at maturity or through periodic repayments. Redemption can be done in lump sum or in instalments. The redemption amount includes the principal amount plus any accrued interest.

Profit and Loss Account and Balance Sheet:

Profit and Loss Account: The profit and loss account, also known as the income statement, summarizes the revenues, expenses, gains, and losses of a company over a specific period, typically one year. It shows the net profit or loss earned by the company during that period.

Balance Sheet: The balance sheet provides a snapshot of a company's financial position at a specific point in time, usually at the end of a fiscal year. It consists of three main sections: assets, liabilities, and shareholders' equity. The balance sheet equation (Assets = Liabilities + Shareholders' Equity) must always be in balance.

- **Assets:** These are the resources owned or controlled by the company, including cash, inventory, property, equipment, and investments.
- **Liabilities:** Liabilities represent the company's obligations to creditors, suppliers, and other parties. This includes debts, accounts payable, and accrued expenses.
- **Shareholders' Equity:** This represents the owners' claim on the company's assets after deducting liabilities. It includes the initial capital invested by shareholders plus retained earnings.

Note: Understanding the profit and loss account and balance sheet helps stakeholders assess a company's financial performance, liquidity, and solvency. These financial statements are crucial for investors, creditors, and management in making informed decisions.

UNIT-II

CALCULATIONS OF PROFIT AND LOSS PRIOR AND POST INCORPORATION, LIQUIDATION OF COMPANY, ACCOUNTING FOR LIQUIDATION OF COMPANIES

Calculations of Profit and Loss Prior and Post Incorporation:

Prior to Incorporation:

- Prior to incorporation, any business activities or transactions are usually treated as pre-incorporation expenses.
- These expenses are incurred during the formation of the company and include costs such as registration fees, legal fees, and expenses related to setting up the business.
- Pre-incorporation expenses are treated as assets on the balance sheet and are amortized over a period of time after incorporation.

Post Incorporation:

- After incorporation, profit and loss are calculated based on the company's operational activities.
- Revenue is generated from sales of goods or services, while expenses include costs incurred in producing goods or providing services, administrative expenses, and other operating costs.
- The difference between revenue and expenses represents the company's profit or loss for a specific period, typically reported on the income statement.

Liquidation of Company:

Meaning:

- Liquidation of a company refers to the process of winding up its affairs and distributing its assets to creditors and shareholders.
- Liquidation can occur voluntarily, through a decision of the company's shareholders or directors, or involuntarily, through a court order in cases of insolvency.

Types of Liquidation:

1. Voluntary Liquidation:

- **Members' Voluntary Liquidation (MVL):** Occurs when the company is solvent, and shareholders decide to wind up the company's affairs voluntarily.
- **Creditors' Voluntary Liquidation (CVL):** Happens when the company is insolvent, and shareholders resolve to wind up the company's affairs voluntarily.

2. Compulsory Liquidation:

- Ordered by a court typically due to insolvency, where the assets of the company are realized and distributed to creditors according to a statutory order of priority.

Accounting for Liquidation of Companies:

Steps:

- **Appointment of Liquidator:** The company appoints a liquidator, who takes control of the company's assets, settles its liabilities, and distributes any remaining assets to creditors and shareholders.
- **Realization of Assets:** The liquidator sells the company's assets, converts them into cash, and uses the proceeds to pay off creditors in a specific order of priority prescribed by law.
- **Payment of Liabilities:** The liquidator settles outstanding debts and liabilities of the company, including payments to creditors, employees, and statutory dues.
- **Distribution of Surplus:** After settling all liabilities, any surplus remaining is distributed among the shareholders according to their rights and preferences.

Conclusion: Understanding profit and loss calculations, as well as the process of liquidation and accounting for it, is essential for business owners, investors, creditors, and other stakeholders to navigate various stages of a company's lifecycle, including its formation, operation, and dissolution.

UNIT-III
CALCULATIONS OF PROFIT AND LOSS PRIOR AND POST INCORPORATION,
LIQUIDATION OF COMPANY, ACCOUNTING FOR LIQUIDATION OF
COMPANIES

Goodwill:

Concept:

- Goodwill represents the intangible value of a business that arises from factors such as reputation, customer loyalty, brand recognition, employee satisfaction, and proprietary technology.
- It reflects the ability of a business to generate excess profits compared to its tangible assets and is often associated with the company's earning power and competitive advantages.

Types:

1. Purchased Goodwill:

- Arises when a company acquires another company for a price that exceeds the fair value of its identifiable net assets.
- It's recorded on the acquirer's balance sheet as an intangible asset.

2. Internally Generated Goodwill:

- Develops over time through the company's own efforts in building its brand, reputation, and customer relationships.
- It's not recognized on the balance sheet unless it's purchased in an acquisition.

Characteristics/Nature:

1. **Intangible Nature:** Goodwill lacks physical substance and cannot be touched or seen, making it an intangible asset.
2. **Value from Reputation and Relationships:** Goodwill derives its value from factors such as customer loyalty, brand reputation, and favorable relationships with stakeholders.
3. **Not Separately Identifiable:** Goodwill cannot be separately identified or sold independently from the business as it represents the overall value of the business as a whole.

Valuation of Goodwill:

Methods:

1. **Excess Earnings Method:** Calculates goodwill by determining the present value of the excess earnings generated by the business.
2. **Market Capitalization Method:** Calculates goodwill as the difference between the market value of the company and the fair value of its net assets.
3. **Income Capitalization Method:** Estimates goodwill based on the present value of future income streams generated by the business.
4. **Cost Method:** Recognizes goodwill as the difference between the purchase price of a business and the fair value of its identifiable net assets.

Factors Considered:

- Revenue and Profitability Trends
- Market Position and Competitive Advantage
- Brand Recognition and Customer Loyalty
- Economic Conditions and Industry Outlook
- Management Quality and Intellectual Property

Valuation of Shares:

Methods:

1. **Asset-Based Approach:** Calculates the value of shares based on the company's net assets, adjusted for fair market value.
2. **Market-Based Approach:** Determines the value of shares by comparing them to similar publicly traded companies or recent transactions in the market.
3. **Income-Based Approach:** Values shares based on the company's projected future earnings or cash flows, discounted to present value using an appropriate discount rate.

Factors Considered:

- Financial Performance and Growth Prospects
- Market Conditions and Industry Trends
- Dividend Payments and Shareholder Rights
- Management Quality and Corporate Governance
- Risk Factors and Economic Outlook

Understanding the concept, types, characteristics, and valuation methods of Goodwill and Shares is crucial for investors, analysts, and business owners in making informed decisions regarding investment, acquisition, and financial planning.

UNIT-IV

MEANING OF HOLDING AND SUBSIDIARY COMPANY, PREPARATION OF CONSOLIDATED BALANCE SHEET OF A HOLDING COMPANY WITH ONE SUBSIDIARY COMPANY.

Meaning of Holding and Subsidiary Company

Holding Company

A holding company is an entity that owns and controls another company or companies, usually by owning more than 50% of the voting stock. The primary purpose of a holding company is to control and manage the subsidiary companies, rather than to produce goods or services itself.

Key Features:

1. **Control:** The holding company has the power to influence or direct the major decisions of the subsidiary company.
2. **Ownership:** Generally owns a majority of the subsidiary's voting shares.
3. **Management:** Can appoint the board of directors and influence key management decisions.

Subsidiary Company

A subsidiary company is a company that is controlled by a holding company. The holding company holds a majority of the subsidiary's voting shares, enabling it to exercise control over the subsidiary's operations and policies.

Key Features:

1. **Control by Holding Company:** The subsidiary operates under the control and guidance of the holding company.
2. **Legal Entity:** A subsidiary is a separate legal entity from the holding company, with its own assets and liabilities.
3. **Majority Ownership:** Typically, the holding company owns more than 50% of the subsidiary's voting shares.

Preparation of Consolidated Balance Sheet of a Holding Company with One Subsidiary Company

Steps to Prepare Consolidated Balance Sheet

1. **Identify the Parent and Subsidiary Companies:**
 - Determine the holding (parent) company and the subsidiary company.
2. **Determine the Date of Acquisition:**
 - Establish the date on which the holding company acquired the subsidiary.
3. **Calculate the Goodwill or Capital Reserve:**
 - $\text{Goodwill} = \text{Cost of Investment in Subsidiary} - (\text{Fair Value of Identifiable Net Assets Acquired})$
 - If the cost of investment is less than the fair value of net assets, it results in a capital reserve.
4. **Eliminate Intercompany Balances and Transactions:**
 - Remove any intra-group balances and transactions, such as intercompany receivables/payables, sales/purchases, etc.

5. Consolidate Assets and Liabilities:

- Combine the parent company's assets and liabilities with those of the subsidiary.
- Adjust for fair value of assets and liabilities acquired.

6. Consolidate Equity:

- Only the parent company's equity (share capital, reserves, and retained earnings) is shown.
- The subsidiary's equity is eliminated against the investment in subsidiary.

7. Non-Controlling Interest (NCI):

- If less than 100% of the subsidiary is owned, calculate and present NCI.
- $NCI = \text{Proportionate Share of Net Assets of Subsidiary attributable to Minority Interest.}$

Example of a Consolidated Balance Sheet

Let's assume the following simplified balance sheets for a holding company (H Ltd) and its subsidiary (S Ltd):

H Ltd Balance Sheet:

Assets	Amount (₹)	Liabilities & Equity	Amount (₹)
Fixed Assets	500,000	Share Capital	600,000
Investments (S Ltd)	300,000	Reserves & Surplus	300,000
Current Assets	300,000	Current Liabilities	200,000
Total Assets	1,100,000	Total Liabilities & Equity	1,100,000

S Ltd Balance Sheet:

Assets	Amount (₹)	Liabilities & Equity	Amount (₹)
Fixed Assets	400,000	Share Capital	200,000
Current Assets	300,000	Reserves & Surplus	300,000
		Current Liabilities	200,000
Total Assets	700,000	Total Liabilities & Equity	700,000

Assuming H Ltd owns 100% of S Ltd, and there are no intercompany transactions or adjustments.

Consolidated Balance Sheet:

Assets	Amount (₹)	Liabilities & Equity	Amount (₹)
Fixed Assets	900,000	Share Capital (H Ltd)	600,000
Investments	-	Reserves & Surplus	300,000
Current Assets	600,000	Current Liabilities	400,000
Goodwill	-		
Total Assets	1,500,000	Total Liabilities & Equity	1,300,000

- **Fixed Assets:** Combined from H Ltd and S Ltd (500,000 + 400,000)
- **Current Assets:** Combined from H Ltd and S Ltd (300,000 + 300,000)
- **Share Capital and Reserves:** Only those of H Ltd are shown.
- **Current Liabilities:** Combined from H Ltd and S Ltd (200,000 + 200,000)
- **Investments:** Eliminated as it is intra-group.

Notes: 1. Goodwill Calculation: If the investment in S Ltd is 300,000 and the net assets of S Ltd are 500,000 (400,000 + 300,000 - 200,000), Goodwill would be calculated as:
 Goodwill = Cost of Investment - Fair Value of Net Assets Acquired = 300,000 - 500,000 = -200,000 (Capital Reserve in this case)

2. Non-Controlling Interest (NCI): If H Ltd owns less than 100%, calculate the NCI separately.

This is a simplified illustration. Real-life consolidation involves detailed adjustments for fair value, deferred tax, contingent liabilities, and more complex intra-group transactions.

UNIT-V

ACCOUNTING FOR MERGER AS PER AS 14

Accounting for Merger as per AS 14

AS 14, also known as "Accounting for Amalgamations," provides guidelines for accounting treatment when two or more companies merge. Here are the detailed notes on the accounting for mergers as per AS 14:

Types of Amalgamations:

1. Amalgamation in the nature of Merger:

- Assets and liabilities of the transferor company(s) become assets and liabilities of the transferee company.
- Shareholders of the transferor company(s) become shareholders of the transferee company.
- No adjustment to the book values of assets and liabilities is required.

2. Amalgamation in the nature of Purchase:

- Transferor company(s) lose their separate identity.
- Transferee company acquires the assets and liabilities of the transferor(s) at their fair values.
- Purchase consideration may be in the form of cash, equity shares, or other securities.

Accounting Treatment:

1. Pooling of Interests Method (Applicable for Merger):

- Assets and liabilities of the transferor company(s) are recorded by the transferee company at their existing book values.
- No adjustment to the book values of assets and liabilities occurs.
- Share capital and reserves are aggregated.

2. Purchase Method (Applicable for Purchase):

- Assets and liabilities of the transferor company(s) are recorded at their fair values by the transferee company.
- Goodwill or Capital Reserve may arise if the purchase consideration exceeds the net assets acquired.
- Share capital issued as consideration is recorded at fair value.

Disclosure Requirements:

1. **Nature of Amalgamation:** Whether it's in the nature of merger or purchase.
2. **Effective Date of Amalgamation:** Date from which amalgamation is given effect.
3. **Method of Accounting:** Whether pooling of interests method or purchase method.
4. **Details of Purchase Consideration:** Breakdown of consideration paid (cash, equity shares, etc.).
5. **Treatment of Reserves:** How reserves of the transferor company(s) are treated.
6. **Details of Goodwill or Capital Reserve:** If any, and how it's calculated.
7. **Any Contingent Consideration:** Disclosure of any contingent consideration payable.
8. **Details of Pre- and Post-Amalgamation Financial Statements:** Both for the transferee and transferor companies.

INTERNAL RECONSTRUCTION OF A COMPANY

Internal Reconstruction Of A Company As Per As 14

Definition:

Internal reconstruction refers to the reorganization of the capital structure of a company without the company going into liquidation. It involves altering the rights and obligations of shareholders, creditors, and other stakeholders.

Steps Involved:

- 1. Determine the Need for Reconstruction:**
 - Identify reasons such as accumulated losses, excessive capital, etc.
- 2. Formulation of Scheme of Reconstruction:**
 - Prepare a detailed plan addressing the issues and objectives.
 - Obtain approval from shareholders, creditors, and regulatory authorities.
- 3. Approval of Scheme:**
 - Approval by requisite majority of shareholders and creditors.
 - Approval from regulatory bodies such as the National Company Law Tribunal (NCLT).
- 4. Implementation of Scheme:**
 - Carry out necessary adjustments to capital, reserves, and liabilities.
 - Issue new shares, debentures, or securities as per the scheme.
 - Update accounting records accordingly.
- 5. Accounting Treatment:**
 - Revalue assets and reassess liabilities as per the scheme.
 - Adjust capital accounts, reserves, and accumulated losses.
 - Reflect any change in share capital structure.
- 6. Disclosure Requirements:**
 - Provide detailed disclosure of the scheme in financial statements.
 - Disclose the effect of reconstruction on financial position, results, etc.

Accounting Entries:

- 1. Adjustment of Assets and Liabilities:**
 - Revalue assets and liabilities to reflect their fair values.
 - Record any adjustments to capital or reserves.
- 2. Treatment of Share Capital:**
 - Cancel or reduce existing share capital as per the scheme.
 - Issue new shares or securities to shareholders as per the scheme.
- 3. Treatment of Reserves and Surplus:**
 - Transfer or adjust reserves and surplus as per the scheme.
 - Create new reserves if required.
- 4. Treatment of Losses or Profits:**
 - Adjust accumulated losses or profits as per the scheme.
 - Write-off or carry forward losses as per the scheme.

Disclosure Requirements:

- 1. Details of Scheme:**
 - Provide a comprehensive explanation of the reconstruction scheme.
 - Disclose its objectives, impact, and implications.

2. Accounting Treatment:

- Describe the accounting treatment adopted for the reconstruction.
- Provide details of adjustments made to assets, liabilities, capital, etc.

3. Impact on Financial Statements:

- Disclose the effect of reconstruction on financial position, results, etc.
- Present comparative financial statements if required.

Both AS 14 and internal reconstruction involve complex accounting treatments and require careful consideration of legal, financial, and regulatory aspects. Compliance with accounting standards and disclosure requirements is crucial to ensure transparency and accuracy in financial reporting.